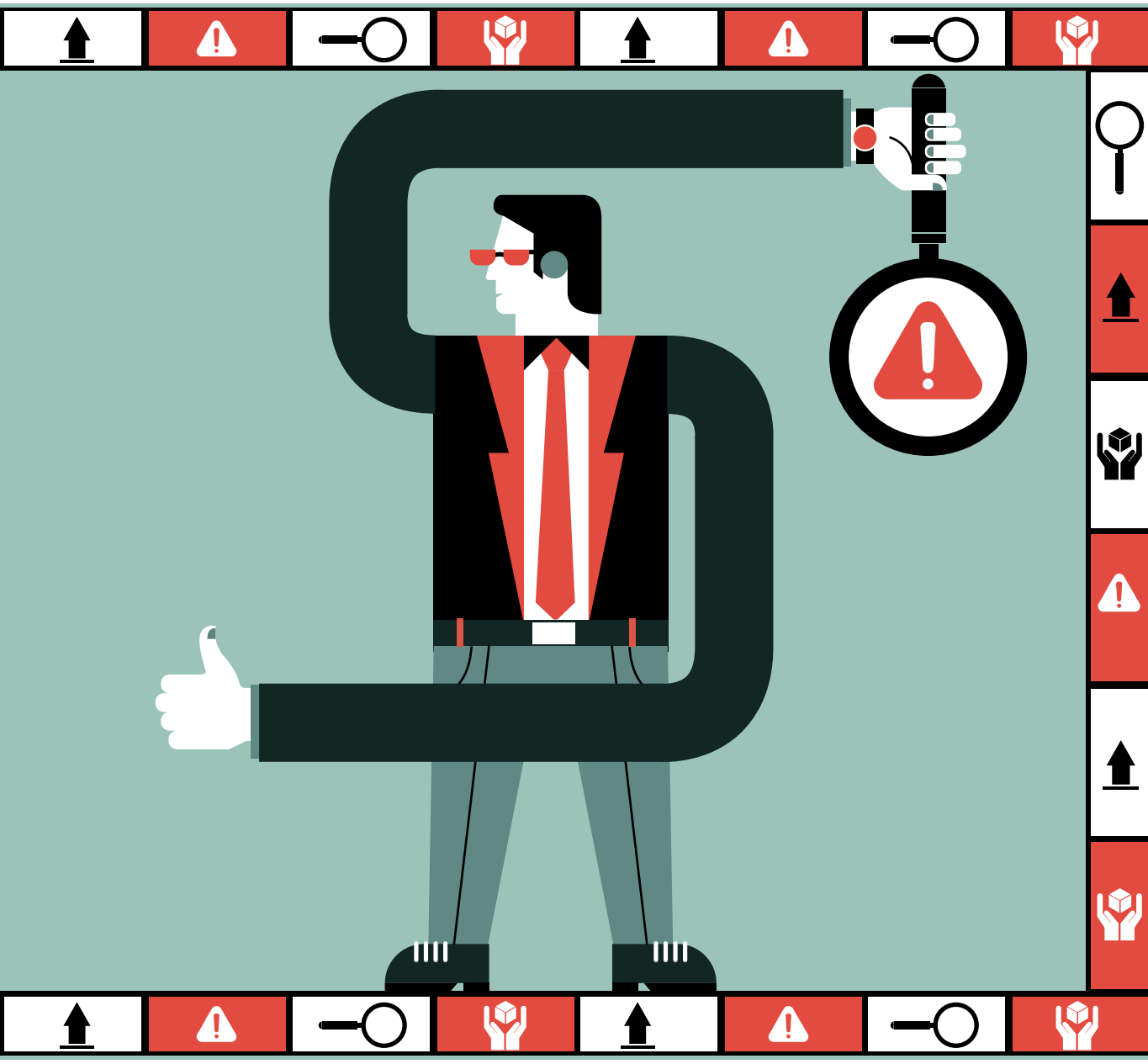


ILLUSTRATION BY **RAJ VERMA**

There is also pressure on prices. While 22% of companies surveyed have already increased prices, another 25% plan to do so. The rest remain undecided, suggesting that companies are still assessing how much of the rising cost burden they can pass on to customers.

The survey was conducted between September 9 and 18, as the festive season was getting under way with Ganesh Chaturthi. That makes the subdued confidence notable: experts say the third quarter typically brings greater optimism as companies anticipate higher sales and profitability.

OIL SQUEEZE

Even as the West Asia conflict's fresh escalation led to a surge in global crude oil prices—Brent touched a high of $109.97 per barrel on September 11 and remained largely above $100 per barrel— the average price of the Indian crude oil basket also shot up as supply constraints and higher transport costs impacted prices. The Indian basket, which had averaged $82.04 a barrel in July— the lowest this fiscal—averaged $116.09 in September, an increase of 41.5%. It had risen further to $117.58 per barrel by October 6.

"It takes about 45-60 days in terms of shipping time, leading to higher transportation costs. It has been difficult to find tankers and